LEXADVISOR AI — LEGAL DECISION SUPPORT SYSTEM

CONTRACT RISK AUDIT • STATUTORY ADMISSIBILITY • CLAUSE VULNERABILITY REPORT

Bar Council of Telangana & Andhra Pradesh • Indian Contract Act, 1872 • Indian Stamp Act, 1899

DOCUMENT: EMPLOYMENT_AGREEMENT (3).pdf **AUDIT DATE:** November 02, 2026

CATEGORY: Employment Agreement • **STATE:** Telangana **REPORT REF:** LEX/RISK/2026/A11B81

HIGH CONTRACT RISK • SCORE: 100 / 100

CRITICAL VULNERABILITY — Action Required Before Signing / Payment

1 Critical / High Risks • 0 Moderate Risks • 8 Missing Protective Rules

■ **Plain-English Summary:**
Your document was evaluated with an overall HIGH legal risk profile (Score: 100/100). We detected 8 missing rules/clauses and 1 dangerous one-sided clauses. Please read the action steps below before signing or making payments.

1. IDENTIFIED UNFAIR TRAPS & DANGEROUS COVENANTS

#1. Absence of Limitation of Liability Cap **[HIGH SEVERITY]**

"No cap on indirect, special, punitive, or consequential damages."

■■ **Why this hurts you: What this means for you: There is no limit on how much money the other party can demand from you if something goes wrong.**

Statutory Basis: Section 73, Indian Contract Act, 1872

Safe Revision Demand: Neither party shall be liable for indirect or consequential damages. Maximum aggregate liability shall not exceed total fees/rent paid in preceding 12 months.

2. MISSING ESSENTIAL RULES & PROTECTIVE CLAUSES (8)

Clause Name	Priority	Why Everyday Citizens Need This Rule
Preamble & Identity of Parties	HIGH	Confirms the exact legal names and authorized signers.
Consideration & Performance Obligations	HIGH	Under Section 10/25 of Indian Contract Act, every valid contract must have clear consideration.
Representations & Warranties	HIGH	Guarantees both sides have the legal right and power to sign.
Limitation of Liability Cap	HIGH	Puts a safe ceiling on maximum damages you could ever owe.
Term and Termination with Cure Period	HIGH	Ensures fair exit rights with reasonable notice.
Force Majeure (Acts of God & Epidemics)	MEDIUM	Protects you from penalties if floods, earthquakes, or government lockdowns stop performance.
Dispute Resolution Mechanism	HIGH	Specifies mediation or arbitration before costly court trials.
Governing Law & Jurisdiction	HIGH	Ensures cases are heard in your home state courts.

3. PRIORITIZED ACTION ROADMAP (WHAT STEP YOU SHOULD TAKE)

Step 1 (Do Not Sign As-Is): Request the owner / employer / counterparty to amend the identified one-sided clauses before executing the agreement.

Step 2 (Clause Revision Demand): Send a written revision request (via WhatsApp/Email) to replace: Absence of Limitation of Liability Cap.

Step 4 (Insert Missing Protections): Add the missing protective rules into the draft: Preamble & Identity of Parties, Consideration & Performance Obligations, Representations & Warranties.

Step 5 (Payment Safety): Always pay rent, security deposits, or fees through verifiable banking channels (NEFT/RTGS/UPI); never pay cash without an official signed receipt.

Step 6 (Legal Notice If Disputed): In case of existing breach or non-refund, use our 'Legal Notice & PDF Drafter' tab to issue a 15-day formal RPAD demand notice.

PREPARED BY AI LEGAL COUNSEL:

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LexAdvisor Proactive Legal Auditor
Automated Contract Risk Intelligence
Validated under Indian Jurisprudence

REVIEWED BY ADVOCATE / CLIENT:

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Advocate / Client Signature
Bar Council Enrolled Counsel
Verification & Concurrence